

ACAMS Exam Study Guide

Key AML/CFT Concepts from Simulation Questions

Compliance Training

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What is AML/CFT?

Anti-Money Laundering (AML)

Laws and procedures to prevent criminals from disguising illegally obtained funds as legitimate income.

Counter-Financing of Terrorism (CFT)

Efforts to prevent the financial support of terrorist organizations and activities.

Goal: Protect the integrity of the global financial system.

Key Players: FATF

Financial Action Task Force

- Global standard-setter for AML/CFT.
- Sets international standards.
- Researches ML/TF methods.
- Assesses country effectiveness.

FATF Lists

- **Grey List:** Jurisdictions under increased monitoring.
- **Black List:** High-risk jurisdictions subject to call for action.

FATF Immediate Outcomes

Definition (Immediate Outcome 3)

Financial supervision is risk-based and effective.

Definition (Immediate Outcome 4)

Financial institutions apply preventive measures consistent with their ML/TF risks.

Exam Focus

Supervisors prioritize IO.3 (risk-based supervision) and IO.4 (institutions applying preventive measures) to evaluate bank compliance.

Digital Operational Resilience Act (DORA)

DORA's Regulatory Expectation

Centralizing oversight of Information and Communications Technology (ICT) risk management across all member-state branches.

Key Action for Cross-Border Banks

Ensure centralized governance of ICT risks rather than relying solely on national regulators' cybersecurity requirements.

Shortcoming of Early Directives

Failure to ensure timely and complete transposition by all member states.

- Lack of uniform implementation across jurisdictions led to regulatory arbitrage.
- Prompted later revisions to impose stricter transposition deadlines and oversight.

Internal AFC Reporting to Governance

Appropriate Contents (Select Three)

- ① Updates on regulatory interactions and supervisory reviews.
- ② Assessment outcomes of control effectiveness on monitoring tools.
- ③ Investigation statuses of escalated Suspicious Activity Report (SAR) reviews.

Note on User Selection

Cash flow performance figures are generally *not* a core AFC governance report component.

Key Elements (Select Two)

- ① **Assignment of compliance responsibilities.**
 - ② **Program review triggers** based on regulatory or business events.
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- Policies must clearly define roles and the circumstances under which the program is re-evaluated.

Enterprise-Wide Risk Assessment (EWRA)

Scenario: High-Risk Jurisdiction Customers via Mobile

The institution must **incorporate digital delivery channels** into the EWRA to reassess risk exposure.

- Risk assessments must evolve to include new channels (e.g., mobile platforms) that bypass traditional branch monitoring.

Handling High-Risk Requests

Decline immediately unless full beneficial owner information and risk justifications are disclosed and verified.

- Connections to high-risk industries (NRA) and confidentiality requests are significant red flags.
- Offloading responsibility to local counsel is not a valid risk mitigation strategy.

Politically Exposed Persons (PEPs)

Best Practice (Singapore AML Framework)

Refer the case to the **high-risk customer review committee** for enhanced due diligence (EDD) before onboarding.

- PEPs from outside the region require additional scrutiny.
- Complex ownership structures and high-value international transactions necessitate committee-level approval.

Risk Elements (Select Two)

- ① **Government ownership** of defense contractors.
 - ② **Oversight by PEPs** (military officials often qualify as PEPs).
- These factors increase the risk of bribery, corruption, and diversion of state assets.

Challenges Identified (Select Two)

- ① **Missing identifiers in customer profiles.**
 - ② **Inconsistent use of country codes** across systems.
- Inconsistencies and missing data severely impact AML controls and monitoring effectiveness.

Data Cleansing Processes

Examples (Select Two)

- ① **Removal of duplicate entries.**
 - ② **Validation of data accuracy.**
- These actions are critical during post-acquisition integration to address AML control weaknesses.

Objectives (Select Three)

- 1 Ensuring data inputs reflect actual customer and transaction behaviors.
- 2 Verifying that automated controls are functioning correctly based on input quality.
- 3 Testing whether controls generate alerts under appropriate risk conditions.

Transitioning to AI-Based Compliance

Maintain Effectiveness (Select Three)

- ① Ensuring **data quality** for training algorithms.
 - ② Managing the change in **employee workflows**.
 - ③ Verifying **transparency and explainability** in AI models.
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- The correct focus is on data, people, and explainability—not just selecting external auditors.

Ensuring Regulatory Compliance

Document model development, ensure explainability, and perform validation **before deployment**.

- Regulators require validation and explainability of all models used in monitoring.

Definition (Entity Resolution)

Links data from multiple sources to improve match accuracy.

- Critical for identifying entities (e.g., wallets, addresses) across different blockchain networks and data sets.

Why Integrate Fuzzy Logic?

Because it accommodates **inconsistencies in data formats and naming conventions**.

- PEP lists often contain variations (e.g., "William" vs. "Bill," misspellings).
- Fuzzy logic matches approximate strings, increasing detection rates while reducing false positives.

Passive vs. Active Liveness Detection

Passive Liveness Detection

Uses **minimal user interaction** and analyzes subtle facial movement or texture patterns.

- **Active Methods:** Require user actions (e.g., blinking, smiling, answering KYC questions).
- Passive is less intrusive and often preferred for a smoother customer experience.

Rules-Based Alerts: "Round Trip"

Analyst Workflow

- ① Review alert (nearly identical send and receive remittance within minutes).
 - ② Confirm the transaction pattern.
 - ③ **Escalate to Level 2** for deeper investigation.
- Level 1 analysts perform initial triage; Level 2 conducts full investigations.
 - "Round tripping" is a classic layering technique.

Card-Based Products: Risk Factors

Common Risk Factors (Select Three)

- ① **Anonymity** through prepaid cards.
- ② **High volumes of rapid transactions.**
- ③ **Use by customers in high-risk sectors.**

Key Vulnerability

Can be used anonymously, especially when reloadable or unregistered.

- This anonymity complicates customer due diligence (CDD) and transaction monitoring.

The Challenge

High transaction volumes and decentralized payments make patterns harder to detect.

- E-commerce platforms often process millions of small transactions, making it difficult to separate legitimate from illicit activity.

Red Flag

Making payments for high-value items in **cryptocurrency**.

- While complex financing can be a red flag, cryptocurrency payments for high-value assets are increasingly scrutinized due to the potential for anonymity.
- A foreign PEP purchasing multiple properties via a trust should trigger an AML investigation.

Typical Characteristics (Select Two)

- ① **Limited customs authority** over transitory goods.
 - ② **Evasions of customs payments.**
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- FTZs are vulnerable to mis-invoicing, over/under-invoicing, and illicit trade.

Private Banking Vulnerabilities

Core ML Vulnerability

Discretion and high client autonomy can obscure beneficial ownership and reduce transparency.

Investment Banking Red Flags

Red Flag Scenario

Client typically deals in low-margin bond offerings but suddenly issues high-return instruments via an unfamiliar subsidiary.

Prudent Response

Escalate internally and request further documentation before determining next steps.

Bank Secrecy Act (BSA)

Purpose of FinCEN

Safeguards the financial system by administering and enforcing the Bank Secrecy Act to **detect and prevent financial crimes**.

Consumer Protection Objectives

Primary Objectives (Select Two)

- 1 **Prevent unauthorized transactions** affecting vulnerable customers.
- 2 **Ensure clear and transparent disclosures** of terms.

Impact of Inconsistent Reporting

The institution **reduces the efficiency of regulatory review.**

- Mixed free-text and structured formats hinder supervisors' ability to quickly review data.
- Standardization is key to effective compliance.

Compliance with Data Privacy Laws

- 1 Create **jurisdiction-specific procedures** for capturing research findings.
- 2 Develop a standard research template with **adjustable sections** based on local data regulations.

Money Services Businesses (MSBs)

Why Classification Matters

MSB designation triggers **specific AML compliance and reporting obligations.**

Payment Service Providers (PSPs)

Cross-Border Strategy

Customize AML policy and onboarding procedures per jurisdiction and product.

Control Measures (Select Two)

- ① **Enforcing chip redemption policies** tied to minimum gaming thresholds.
 - ② **Tracking player activity** through registered loyalty programs.
- These controls help mitigate the risk of using casinos to layer illicit funds.

Federally Regulated Institution

Apply **enhanced due diligence**, assess provincial/state law compliance, and consult internal legal guidance.

Minimizing Sanctions Risk

Implement robust **blockchain analytics** and transaction monitoring tools to screen wallet addresses against sanctions lists.

- Entity resolution links on-chain addresses to off-chain risk data.

Technology Solution

Implement **perpetual KYC** with centralized data and trigger-based updates.

- This reduces customer friction (complaints about repeated KYC requests) while maintaining compliance.

Common Issues

- **Missing identifiers** in customer profiles.
- **Inconsistent address formats** and duplicate profiles.
- **Misalignment** between transaction monitoring scenarios and typologies.

Remedy

Initiate a **data cleansing process** targeting missing and duplicated records.

Who are the Key Stakeholders?

- **Internal:** Board of Directors, Compliance Committee, Business Units.
- **External:** Regulators, FIUs, Law Enforcement, Customers.

Building a Strong Culture

- **Tone from the Top:** Leadership must prioritize compliance.
- **Training:** Regular, role-specific training on AML/CFT policies.
- **Awareness:** Employees should understand the "why" behind controls.

AML Data Strategy

- 1 Conduct a **data coverage and gap assessment**.
- 2 Initiate **data cleansing** processes.
- 3 Harmonize **country code standards** across merged systems.

Future Trends in AFC

- **AI and Machine Learning:** Enhanced detection and prediction.
- **Blockchain Analytics:** Deeper on-chain monitoring.
- **Data Sharing:** Public-private partnerships for information exchange.
- **RegTech:** Automation of compliance and reporting.

Remediating FATF Grey List Status

Key Steps

- ① **Address strategic deficiencies** identified by FATF.
- ② Improve supervision of DNFBPs.
- ③ Enhance beneficial ownership transparency.
- ④ Demonstrate effective implementation of AML/CFT measures.

Key Takeaways

- ① **Know Your Customer (KYC)** is the foundation of AML.
- ② **Risk-based approach** is key: assess, mitigate, monitor.
- ③ **Data quality** is non-negotiable for effective controls.
- ④ **FATF standards** are the global benchmark.
- ⑤ **Technology** is a tool, not a replacement for human judgment.

- **Read carefully:** Look for words like "Select Three" or "Select Two."
- **Think like a compliance officer:** Escalate, document, and validate.
- **Focus on the "why":** Understand the underlying logic of the risk-based approach.
- **Know the frameworks:** FATF, DORA, Wolfsberg, EU Directives.

Sample Question: Risk Factors

Question

Which of the following represent common risk factors associated with card-based products? (Select Three.)

Answer

- ① Anonymity through prepaid cards.
- ② High volumes of rapid transactions.
- ③ Use by customers in high-risk sectors.

Sample Question: PEPs

Question

A compliance officer at a financial institution in Singapore is reviewing a PEP case. What action is most consistent with Singapore's AML framework?

Answer

Refer the case to the high-risk customer review committee for enhanced due diligence before onboarding.

Sample Question: Data Cleansing

Question

Which actions are examples of data cleansing processes? (Select Two.)

Answer

- ① Removal of duplicate entries.
- ② Validation of data accuracy.

Sample Question: E-Commerce

Question

Why is transaction monitoring particularly challenging in an e-commerce risk context?

Answer

High transaction volumes and decentralized payments make patterns harder to detect.

References

-  Financial Action Task Force (FATF). (n.d.). *Recommendations*.
-  ACAMS. (2026). *CAMS Exam Study Guide*.
-  Digital Operational Resilience Act (DORA). (2022). Regulation (EU) 2022/2554.
-  Wolfsberg Group. (n.d.). *AML Principles*.

Quick Quiz

- ① What is the primary purpose of fuzzy logic in PEP screening?
- ② Which FATF Immediate Outcomes do supervisors prioritize for evaluating banks?
- ③ What is the best action for a TCSP firm when a client requests confidentiality and is linked to high-risk industries?

Thank You Good luck on your CAMS Exam!